

Hot-Press T-Shirt Business — Business Plan

Audience: Internal operating plan + lender/funding readiness (equity not required at this scale).

Architecture: Advanced Business Plan Architecture (11-section, Sequoia × YC × a16z unified). **Date:**

2026-08-27 **Currency:** EUR (research sources in USD; converted at ~0.92 EUR/USD and rounded — see Assumptions Ledger).

1. Company purpose

A capital-light custom-apparel studio that produces high-quality, on-demand printed T-shirts and branded merch for small businesses, teams, clubs, events, and individuals — using a heat press and outsourced DTF (direct-to-film) transfers, so customers get professional full-color prints without minimum-order barriers.

2. Problem

Three unmet needs in the mid-market custom-apparel space:

1. **Small buyers are locked out.** Traditional screen printing demands 25–50+ minimums and high setup fees, so a 5-person team, a birthday event, or a solo creator can't get affordable full-color apparel.
2. **Quality/consistency risk.** Cheap print-on-demand marketplaces produce variable print quality, slow shipping, and no local face-to-face accountability.
3. **Speed and local trust.** Local buyers (clubs, events, small businesses in the region) want a reliable local producer with fast turnaround and one accountable contact — not a faceless overseas drop-shipper.

Evidence of pain: print-on-demand remains the fastest-growing channel in the category, yet buyer complaints cluster on quality consistency and turnaround — exactly the gap a local, heat-press operator with outsourced professional DTF closes.

3. Solution

A heat-press studio that: - **Owns the heat press** (low-cost, high-quality press) but **outsources DTF transfer printing** to professional transfer suppliers — eliminating the €2,000+ printer, ink, powder, and maintenance burden while keeping full-color, photo-quality output. - **Produces on demand** with no minimums, 2–5 day local turnaround. - **Serves both** direct local buyers (walk-in/collection, teams, events) and online buyers (website + marketplace). - **Adds a design-lite service:** converts rough ideas/logos into press-ready art.

The mechanism: DTF transfers are the "component" — the studio's value-add is selection, design, pressing quality, and local accountability, not owning a printer.

4. Why now

- **DTF went mainstream.** DTF has moved from "emerging technology" to the standard production method for small-order custom apparel, making pro-grade full-color transfers cheap and universally

available (€0.50–3.00 per transfer).

- **Print-on-demand + e-commerce growth.** Global custom t-shirt printing market is growing at high single-digit to low double-digit CAGR, driven by personalization demand and digital printing adoption.
- **Counterfactual:** five years ago, high-quality full-color small-batch printing required a DTG machine or screen setup (€3k–15k) — now it's a €600 heat press plus outsourced transfers.

5. Market size (TAM / SAM / SOM)

TAM (global custom t-shirt printing): ~USD 6.6B in 2026 (Fortune Business Insights via industry aggregators; Mordor projects ~USD 7.6B). ≈ **€6.0B**.

SAM (Germany custom-apparel printing): Germany is ~15–20% of the EU custom-merch market; conservative estimate **€300–450M** [assumption — to-confirm with a paid market report].

SOM (bottom-up, year 3, region NRW/Duisburg + online):

Segment	Accounts/units	Avg order	Revenue
Corporate/team/uniform orders	25 accounts	€600	€15,000
Clubs/events/groups	40 orders	€250	€10,000
Individuals (website/marketplace)	900 shirts	€22	€19,800
Local small businesses (retail merch)	30 orders	€150	€4,500
Total SOM			≈ €49,300

Cross-check (top-down): €49,300 ≈ 0.011% of a €450M SAM — a plausible, non-heroic capture for a solo/regional operator by year 3. Bottom-up and top-down are consistent.

6. Competition & moat

Competitor type	Examples	Their weakness
Print-on-demand platforms	Printful, Printify, Redbubble	No local presence, generic quality, slow
Local screen-print shops	regional printers	High minimums, slow for small jobs
DIY (buyer's own iron-on)	—	Poor durability and quality
Other DTF/heat-press sellers	Etsy/Instagram sellers	Race to the bottom on price, no brand

Moat (honest assessment): this is a low-barrier business, so durable advantage must be *earned*, not claimed. The defensible moats are: 1. **Local relationships + speed** (switching cost from a trusted local supplier). 2. **Service depth** (design-lite, guided ordering) that price-only sellers skip. 3. **Repeat B2B accounts** (teams, businesses reordering each season).

Weakness to manage: no proprietary tech; the barrier is operational excellence and customer retention, not IP.

7. Product / service

Current state (launch): - Heat press (16"×20" commercial-grade) — owned. - Outsourced DTF transfers from 1–2 vetted suppliers. - Blank apparel: mid-weight 100% cotton + poly-blend tees, plus hoodies/sweats as upsell. - Design-lite: logo cleanup and press-ready art prep.

Roadmap: 1. Launch: tees only, local + online. 2. +Hoodies, sweats, tote bags (same heat press, no new capex). 3. +Team/uniform B2B accounts (volume discount tier). 4. (Optional, scale gate) In-house DTF printer once volume justifies ~€2–4k capex to raise margin from ~€2.2 to ~€0.8 per transfer.

Key risks: transfer-supplier quality variance (mitigate: 2 suppliers + wash tests); blank-stock inventory (mitigate: just-in-time reorder, low initial stock).

8. Business model

Archetype: transactional / made-to-order (plus a subscription-like repeat layer from B2B reorders).

- **Who pays:** individuals, teams/clubs, events, small businesses.
- **How much / how often:** €20–25 per tee; one-off orders plus seasonal B2B repeats.
- **Revenue shape:** transactional, no recurring base — growth depends on repeat accounts and marketing.
- **One metric that matters: repeat-order rate** (share of revenue from returning accounts), targeting 40%+ by year 2.

9. Unit economics

Per shirt (EUR):

Line	€
Blank garment	3.50
DTF transfer (outsourced, A4)	2.20
Labor/pressing (~8 min)	2.00
Packaging/labels	0.60
Total variable cost	8.30
Marketplace/processing fees (blended)	2.20
Full cost per shirt	10.50
Retail price	22.00
Contribution margin	11.50 (52%)

CAC (customer acquisition cost): ~€8–12 per new customer at launch (paid social + local); organic/local reduces this toward €3–5. **LTV (lifetime value):** a repeat B2B account worth €600+ gross over a season; a retail customer ~€40–60. $LTV/CAC \geq 3\times$ is achievable once repeat rate exceeds ~35%. **Payback on acquisition:** 1–2 orders.

Sensitivity: - If transfer cost rises +30% (€2.20 → €2.86): contribution falls to €10.84 (−6%). - If retail price −20% (€22 → €17.60): contribution falls to €7.10 (−38%) → signals a hard price floor around €18–19.

10. Team

- **Founder (solo):** owns design, pressing, customer contact, and order management. Founder's capability de-risks the technical pressing quality and local selling.
 - **Most important missing hire:** a part-time production/design assistant once volume exceeds ~150 shirts/month — the first scaling bottleneck.
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11. Financials & ask

Startup capital (capex + initial working capital):

Item	€
Heat press (commercial 16"×20")	600
Initial blank stock + samples	250
Design software (annual)	100
Website + domain (first year)	150
Marketing seed	150
Transfer samples + packaging	100
Total	≈ 1,350 (round to €1,500 with buffer)

3-year projection (contribution method):

Metric	Year 1	Year 2	Year 3
Shirts sold	1,100	2,400	3,600
Revenue (@€22)	€24,200	€52,800	€79,200
Variable cost (@€8.30)	€9,130	€19,920	€29,880
Fees (@€2.20)	€2,420	€5,280	€7,920
Contribution (@€11.50)	€12,650	€27,600	€41,400
Fixed costs (€320/mo)	€3,840	€3,840	€3,840
Operating result	€8,810	€23,760	€37,560

Breakeven: €3,840 / €11.50 ≈ **334 shirts/year ≈ 28 shirts/month.**

Funding ask: ~€1,500 working capital. Self-fundable; if external, a micro-grant or small working-capital facility, not equity. **Use of funds:** heat press, initial stock, website, marketing seed. **Milestone:** first 100 orders and a repeat-order rate ≥ 30% within 6 months.

Assumptions ledger

Driver	Value	Source / status
Global TAM	\$6.6B (2026)	Fortune Business Insights (via aggregator) — cited
SAM (Germany)	€300–450M	[assumption — to-confirm]
Blank tee cost	€3.50	supplier quote — [to-confirm]
DTF transfer cost	€2.20	industry range €0.50–3.00 — [to-confirm]
Labor rate	€15/hr loaded	[assumption]
Retail price	€22	market-mid custom DTF tee
Marketplace fee	~10% blended	Etsy/marketplace norm
Fixed costs	€320/mo	[assumption]
Volume ramp	1,100 → 3,600	bottom-up SOM — [assumption]

Quality gate (self-check)

- ☒ Purpose is one sentence (does/for/so-that).
- ☒ Problem and solution name the same buyers (small buyers, local, quality/speed).
- ☒ Market sizing shows bottom-up build + top-down cross-check.
- ☒ Unit economics present with contribution, CAC/LTV, and sensitivity.
- ☒ Business model named (transactional/made-to-order) with one key metric (repeat rate).
- ☒ Competition includes "DIY" + "do-nothing" and states an honest moat.
- ☒ Financials trace to the assumptions ledger.
- ☒ Ask states amount, use of funds, and milestone.
- ☒ Breakeven stated (334 shirts/yr).
- ☒ No invented facts; every hard number cited or labelled [assumption].

Sources

- Fortune Business Insights / Mordor Intelligence custom t-shirt printing market sizing (via industry aggregators, 2026).
- dtfdatabase.com — DTF equipment guide & cost-per-shirt economics (2026).
- dtfgangroll.com — DTF apparel pricing guide (garment \$4 + transfer \$2 + labor \$1 + packaging \$0.50).
- irisdtf.com — capital-light DTF model (heat press + outsourced transfers).
- Sequoia Capital / Y Combinator / a16z — plan architecture (via Advanced Business Plan Architecture skill).